prices fall and the fundamentals didn't change, we would be buyers. But in practice, the fundamentals are also changing. So the direction of our trades will depend on both changes in fundamentals and changes in price.

But in a period like fall 2008 when markets were witnessing huge swings in a matter of days largely based on shifts in sentiment rather than changes in fundamentals, I assume you would be more likely to be going in the opposite direction of most traders. Whereas most traders would be selling to cut their exposure when a market was breaking sharply, you would more likely be a buyer and have lots of liquidity.

That's right, as long as there wasn't a bearish shift in the fundamentals as well.

Do you ever run into situations where size is an issue?

No, because we make sure that we do not run into the problem of size being an issue. We know our transaction costs very well, and we know how long it takes for us to get in and out of positions. We will limit our position size to assure that we can get out reasonably quickly and to keep our transaction costs small relative to the expected alpha of the trades in that market.

Is there a limitation as to how large you can allow the fund to grow?

Yes, we have been closed for several years.

But even if you are closed, in a year like 2010, your assets can grow dramatically just from profits.

We returned profits.

You did quite well in 2008, a difficult year for many hedge funds. What do you attribute your favorable 2008 performance to?

Our criteria for trading in a deleveraging had already been established because we had previously studied other leveragings and deleveragings. Our analysis included both inflationary deleveragings, such as Germany in the 1920s and Latin America in the 1980s, and deflationary deleveragings, such as the Great Depression of the 1930s and Japan in the 1990s. I had also directly experienced the deleveragings in Latin